

APEX ECOTECH LIMITED

(Formerly known as Apex Ecotech Private Limited)

CIN NO. U29299PN2009PLC133737



Date: May 30, 2025

To,

The National Stock Exchange of India Limited
Exchange Plaza, Bandra-Kurla Complex, Bandra (East)
Mumbai- 400051
NSE Symbol: APEXECO

Sub: Transcript of the Earning call with Investors / Analysts held on May 26, 2025

Ref: Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Ma'am

Pursuant to Regulation 30 SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, and in continuation to our letter dated May 21, 2025, please find attached Transcript of the earning call with Investors / Analysts held on May 26, 2025 for your record.

In Compliance with Regulation 46 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, the transcript is also being uploaded on the website of the Company at <https://www.apexecotech.com/announcement.php>

Thanking you,

Yours faithfully,

For **Apex Ecotech Limited**

Kirti Jain

Company Secretary & Compliance officer
M. No.: A61919

Pune Office : Office No 202, Garden Plaza, Five Gardens Road, Sunshine Villas, Rahatani, Pune - 411017, Maharashtra, India. Ph : +91 9175903484 email : pune@apexecotech.com

Delhi Office : Plot No.3, First Floor, 2 Westend Marg, Kehar Singh Estate, Behind Saket Metro Station, New Delhi - 110030. India. Ph : +91 (11) 41664640 email : delhi@apexecotech.com

For more information, visit us at www.apexecotech.com



“Apex Ecotech Limited
H2 FY'25 Earnings Conference Call”
May 26, 2025



MANAGEMENT: **MR. ANUJ DOSAJH – CHAIRMAN, & MANAGING DIRECTOR – APEX ECOTECH LIMITED**
MR. RAKESH KAUL – CHIEF FINANCIAL OFFICER -- APEX ECOTECH LIMITED
MR. AJAY RAINA – EXECUTIVE DIRECTOR – APEX ECOTECH LIMITED
MS. KIRTI JAIN – COMPANY SECRETARY – APEX ECOTECH LIMITED
MR. JASMEET SINGH – REPRESENTATIVE OF STATUTORY AUDITOR – APEX ECOTECH LIMITED
MR. MANENDER SINGH -- INTERNAL AUDITOR – APEX ECOTECH LIMITED

MODERATOR: **MR. RAJDEEP PATIL – AKMIL STRATEGIC ADVISORS**

Moderator:

Ladies and Gentlemen, good day and welcome to Apex Ecotech Limited H2 FY25 Earnings Conference Call hosted by AKMIL Strategic Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajdeep from AKMIL Strategic Advisors. Thank you and over to you sir.

Rajdeep Patil:

Hi, good morning everyone and thank you. On behalf of AKMIL Strategic Advisors, I welcome you all for the conference call of Apex Ecotech Limited. From the management side, we have with us Mr. Anuj Dosajh, Chairman and Managing Director, Mr. Rakesh Kaul, CFO, Mr. Ajay Raina, Executive Director, Ms. Kirti Jain, CS, Mr. Jasmeet Singh, Representative of Statutory Auditor, Mr. Maninder Singh, Internal Auditor. Now I would like to hand over the call to Mr. Anuj Dosajh. Over to you sir.

Anuj Dosajh:

Thanks. Hello everyone. A very good morning to all of you. Thank you for spending time and joining us on this today's earning call. It's a pleasure to connect with all of you as we share and reflect on Apex Ecotech's Limited financial and operational achievements. For the second half and the full financial year ended FY25.

Apex Ecotech was established with a vision to address one of the most critical challenges of our times, sustainable water management. Over the past 15 years, we have grown into one of the leading providers of turnkey water and wastewater treatment solutions. Driven by innovation, technical expertise and a steadfast commitment to entire environmental stewardship.

Today we are proud to have delivered more than 250 projects across 14 industries, treating over 145 million liters per day of water and wastewater. Our in house capabilities allow us to design and implement highly specialized solutions, including zero liquid discharge, using advanced technologies like MBR, electrolysis systems, etcetera.

We operate in a niche and expanding market where demand for sustainable and compliant water solutions is accelerating due to increased industrialization, water scarcity and regulatory enforcement. Our business model is structured to address these needs efficiently and profitably. Against the backdrop, FY25 has been a year of notable and meaningful progress for Apex Ecotech.

I would like to highlight some of the results on H2 FY25. In the second half of FY25, Apex Ecotech delivered a strong financial performance, marked by significant sequential growth. Revenue for H2 stood at INR4925.44 lakhs, reflecting a robust increase of 126.97% over H1 FY25.

EBITDA rose sharply to INR8927.78 lakhs, up 331.85%, showcasing strong operating leverage and improved project margins. Profit after tax surged to INR700.83 lakhs, a 351.42% increase over the previous year. While earnings per share (EPS) for the period reached 6.31, registering a growth of 294.38%.

For the full year FY25, Apex Ecotech recorded a revenue of INR7095.53 lakhs, representing a year-on-year growth of 33.67%. EBITDA stood at INR1105.67 lakhs, up 24.5% year-on-year, while PAT rose to INR856.08 lakhs, marking a 29.11% increase over FY24. EPS for the year was 7.91, up from 6.88 in the previous fiscal, reflecting the company's consistent execution and strong operational footing throughout the year.

These financial results reflect consistent execution, improved project mix, and scalability of our operations. Importantly, our balance sheet remains healthy, with significant improvement in cash position and return ratios. FY25 was a year of significant strategic and operational advancement for Apex Ecotech Limited.

We successfully expanded our international presence, executing projects and developing a robust pipeline in Bangladesh and Vietnam. Our strategic alliance with the global technology leader Veolia has further deepened and enhanced our access to cutting-edge technologies and global best practices.

Further, our in-house engineering teams developed and deployed advanced technologies, easy electro-coagulation systems, etcetera, enabling efficient treatment of complex industrial effluents. Additionally, we continue to invest in automation, digital project monitoring, and after-sales services, along with in-house system upgradation to improve customer experience, project efficiency and long-term operational visibility.

Coming to the outlook for the future, looking ahead to FY26, we remain firmly focused on delivering long-term, sustainable value. Our key strategic priorities, including scaling high margins, vertical such as zero-liquid discharge, Membrane Bioreactor Systems, RO recycling, and implementing newer technologies, thus reducing capex, opex, total area resulting in improved overall treated parameters and efficiency.

Further, expanding our after-sales and maintenance services to create a steady annuity revenue stream, and strengthening our presence in both domestic and international markets. With an order book exceeding INR55 crores in the beginning of FY25-26, we are well positioned to accelerate execution, improve scale and drive consistent growth.

We are confident that our technology-led solutions, in-house capabilities and sustainability-centric business model will enable us to capture the expanding opportunities in the water and wastewater treatment sector.

I would like to take this opportunity to thank our dedicated team, trusted partners, and value-added shareholders for their unwavering support. The road ahead holds immense promise and we remain committed to driving excellence, innovation and responsible growth.

With that, I now open the floor to your questions.

- Moderator:** Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Agastya Dave from CAO Capital. Please go ahead.
- Agastya Dave:** Thank you very much for the opportunity, sir, and congratulations on an excellent set of numbers. We interacted during the IPO, just before the IPO, and I'm pleasantly surprised at the execution in the second half, sir. So, congratulations, sir.
- So having said that, there were two line items which caught my eye and they were showing a little bit of spike. One was on the receivable side, so if you can dwell upon what was the reason why the receivable spiked up. Is this a temporary and transient issue because of probably late billing during the half year and especially during March? And we expect this to get resolved over a period of time, or is this the new level of receivable days which we should build in our expectations going forward?
- Anuj Dosajh:** So, what happens here, I think your question is rightly stated. The increase in volumes in the second half was quite appreciable, in the sense that from 2021 we...
- Moderator:** Sorry to interrupt, Mr. Anuj, sir, can you please come closer to the mic and speak?
- Anuj Dosajh:** So, I have moved out of my cabin. Maybe there is some problem with the disturbance. But now, if I am audible, I just wanted to mention that the answer actually lies in the question yourself, as you have stated. There has been a jump from INR21 crores to almost INR50 crores, which is equivalent to our last year revenue, almost equivalent to that.
- So, yes, there was a lot of billing or invoicing during the six months, specifically in the month of February and March. And therefore, the receivables were high. But however, I mean, you know, we are trying to even out in such a way that it does not get into spikes. But being a project-oriented company, the spikes are natural and will come during the course of time. This is only a snapshot. So, maybe the next year, at the end of the next year, it may or may not show.
- Agastya Dave:** Understood, sir. Understood. Otherwise, sir, what would be your, on an average, receivable days? The collection period is what, sir, two months?
- Anuj Dosajh:** Yes, it generally holds to that because most of the companies that we are working with are, MNCs or established companies of repute. So generally, when we invoice the material, by the time it reaches their site, there is a GRN activity which goes on, another 40 to 45 days for the payments to get released. So typically speaking, it ranges between 45 to 60 days.
- This is for the supply part. The erection part, then the milestones, keep on changing because there is an activity-oriented milestone.
- Agastya Dave:** Understood, sir. Sir, my second question is on the revenue growth that we expect for next year. So you said that we have an opening order book this year of INR55 crores. So generally, again, for project-specific companies, we have seen that order book is generally multiples of the trailing revenue. But I understand our business model is different, our offerings are different. How should we look at the significance of this INR55 crores?

Can you give a comparable number for last year? And can you also tell us the opportunities which you are seeing going forward? What kind of orders are out there for which we will be bidding? And how do you see the overall flow of orders? Is there any pick-up in activity? Or, I mean, would you like to point out anything specific related to the activity levels?

Anuj Dosajh:

Yes, thanks for the question. I would like to answer it in twofold way. Going back a little bit, from the COVID days, when the, everything was coming to a standstill and then restarting everything. So the activity of water and wastewater treatment actually picked up, three to four years back, once again.

And then what happened was that we slowly built up the order book. So I wouldn't actually know what exactly was the last year, spillover. But definitely, it had to be much lesser than this year. So every year, we are growing in terms of the spillover. We had an order book of INR119 odd crores last year, out of which 55 have come this year. And then our overall project gestation period ranges from six months to ten months.

So therefore, unlike the municipal and civil jobs, which generally take two to three years, where your order book could give a very different kind of an outlook, having the first year having a much larger number and then, it getting executed into different years. However, ours is mostly all these 55 will get executed within this year further, whatever orders we pick up to September or October will get supplied within the same financial year.

So the numbers are a little different. But what is heartening to mention is that we have a much better and steadier order book to comply with in the first six months, rather than we had a different, a little more skewed revenue percentage earlier.

Agastya Dave:

Understood. So this is sufficient enough, sir, for, let's say, 25% growth or last year you did 34%. If I just look at the operating revenues, can you replicate that growth with this order book? I mean, again, the significance is kind of lost to us as of now because you are a new company and we're just getting this number.

Anuj Dosajh:

No, no. We are very much on. We are very much on. And I think this percentage is, as a company, is the least what we are thinking at the moment.

Agastya Dave:

Understood, sir. Sir, I have a few other questions.

Anuj Dosajh:

Okay. Yes.

Agastya Dave:

Sir, please finish your point, sir. No, sir, please finish your point, sir.

Anuj Dosajh:

No, my point was that since they were, we are now well placed in a couple of orders which are going to be placed in the next two to three months. And having booked last year, the order through L&T, the Toyota order, which was almost equivalent to INR40 crores. So our ticket size has also increased.

So this year, we definitely would be looking at bigger jobs and we will be in the fray for higher volumes, which will continue in the subsequent years also. So we are in the position to now upscale ourselves, which was part of your question also. So I thought I'll respond to that.

And also, we are bringing in further more technologies. Last week, we were in Kuala Lumpur, where we again received an award for innovation. And we are now bringing in, tying up with some European companies to bring in more technologies in India, which are very new to India, but highly efficient and more beneficial to the user at the end of the day.

Moderator: Thank you. The next question is from the line of Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: Yes, hi. Good morning. I had a few questions. First of all, I can see the shift in our margins from the first half to the second half. So if you can explain what changed for us?

Anuj Dosajh: There is a slight echo in your voice. If you can repeat that.

Rahil Dasani: Can you hear me better now?

Anuj Dosajh: Yes!

Rahil Dasani: So we can see a shift in margins from the first half to the second half. So if you can explain what changed for us?

Anuj Dosajh: Nothing exactly changed. It is just that we had jobs which had their completion period or supply period according to what was given. So generally at the end of the year or end of any quarter as such, there is a higher amount of invoicing which is done by the supplier and also well appreciated and accepted by the receiver, the user.

So like I said, last year we had 21 Crores of execution. This year with having 55 crores in hand. So we are expecting a much better H1 and it will not be as skewed as earlier. So it is beneficial in terms of maintaining your cash flows and avoiding spikes also.

Rahil Dasani: So if I understand it right, you explained that in H2 there were a lot more project completions and that's why our margins spiked up a bit?

Anuj Dosajh: Correct, because it was more like project oriented and so the first 6 months the number of projects to be executed were lesser and it was in the later half of the year it was higher. But our endeavour was that we have a kind of, if not a steady monthly kind of invoicing, we have lesser crest & troughs so that there are not too many spikes. So this year will be far better.

Rahil Dasani: So if you can maybe explain in this March number of the INR50-INR55 crores sales that we did, how much was from project completion versus the milestone payments?

Anuj Dosajh: Can you come again please?

Moderator: Rahil sir, can you use your handset please?

- Rahil Dasani:** Sorry I'll just shut it down. So my question is, in H2 of the INR50 crores of sales, how much was the project completion sales versus the milestone payment sales?
- Anuj Dosajh:** See I'll put it differently because if I understand your question properly, what happens is, for any job for us to supply with, I'll give an example, if there is 100% of the job which has to be done, around 80%-90% is against supplies. So the payment and invoicing is on pro rata basis against supplies. And 10% to 20% varies for erection and commissioning.
- So typically for any job, irrespective of the volume, I mean whether it is 30 crores, the percentage typically remains the same. So plus-minus 2-3% here or there, generally the numbers are the same. So you can extrapolate that.
- Rahil Dasani:** Sir, I guess I'll connect with you privately about this question. My next question is, how do the margins change in the WTP projects versus the WWTP projects versus the ZLD projects?
- Anuj Dosajh:** See, ZLD being a little more niche and it depends because, see, a lot of companies are vying for it. One is you have an in-house control over how you execute the job. But I strongly feel that technology is there to actually get a better result in terms of margins.
- So the objective is, if we are giving, I'll give you an example. Suppose something is to be done in 100 m2 and we can do it in 10 m2. So the advantage lies in terms of the overall expense to the client and that is where we can make better margins. So I think ZLD obviously holds better chances of having a better margin at the end of the day. It's technology-oriented.
- Rahil Dasani:** Yes. So, going ahead, is our focus going to go more towards the ZLD projects since right now I believe it's close to 20-30% of our revenues?
- Anuj Dosajh:** Definitely. See, ZLD actually is the name of the game and that is what's going to change everything or that's what is the need of the hour. Because finally, at the end of the day you can recycle water, but once you are recycling water, we reject which is going into the downstream or which is getting disposed. It's full of contamination.
- So, that's not the objective. The objective is to actually not to contaminate or pollute the environment. That's one. Reuse the total water and with the evaporation coming into the things. So, there you can recover almost 98% of water. So, yes, that's the name of the game and we are focused on that.
- Rahil Dasani:** Sir, another thing you mentioned was that the execution timeline for our project is much lower compared to the municipal project which range from 18 months to 24 months compared to 6 months to 10 months for us. So, I believe both these applications need treatment plant at the end of the day. So, is it like it's the sheer size of the projects because of which our timeline is lower or what is the reason?
- Anuj Dosajh:** Both. See, one is the ticket size and the second is our projects are more oriented to MEP. Mechanical, Electrical and Plumbing basically like you say. Whereas, if you go to any municipal jobs, they are more civil oriented. Typically, a civil takes a larger period of time because of so

many vagaries. It could be because of the seasonal changes. It could be because of the project size by itself.

So, our ticket size is smaller and it has more to do with the MEP stuff. So, that is one of the primary reasons that the gestation period is lower.

Rahil Dasani:

Understood. And sir, I have a last question. So, the customer list you have mentioned, they have several vendors. So, why should customers go for it and why should our order book stay because at the end of the day, the demand is limited and there are multiple players doing the same thing without any differentiation as such.

So, if you can explain why should we then as in you were speaking a bit about the technology part earlier. You have some tie-ups with Veolia. So, if you can speak on those and how are we benefiting out of that?

Anuj Dosajh:

Generally speaking, I would like to differ a little bit from what you have stated. There is a lot of differentiation in most of this business. One is that there is abundance of business in terms of requirements. So, there is no shortage of demand as such because there is an increasing requirement of recycling, water and putting ZLD plants which is slowly, slowly going to grow.

It is only it is in single-digit percentages as of now in India. So, the scope is huge for the next couple of decades and probably for the rest of anybody's and everybody's lifetime. However, the differentiation comes because you have different customers. That is the asset class or the customer class. Some would go for something which is not so expensive, but may not be reliable enough.

And it is for us to position to potentially so there is enough for everybody. But we have to position the product and the system in such a way so that it becomes performance-oriented. And that is why if you see our clientele, I would like to mention that it is quite the upmarket clientele which understands the importance of this.

So, today we are buying with some of the big listed companies in India and we are getting orders against them. So, I think with Veolia because they have certain products, which one of the examples which I gave was 100 meter square versus 10 meter square. Some of these technologies are very well appreciated by the people.

And most of these orders from the higher depths, they come from word of mouth. So, you do a good job, there are 10 people looking at that job and they are looking at you. So, yes, I would like to say that differentiation is on. People do understand and appreciate what we are doing in the market today.

Rahil Dasani:

Okay, so what is our nature of relationship with these technology partners and is it like what you, for example, what you said that 10 square meter compared to 100 square meter. Is it like no one else is able to provide that particular range in India excluding us?

Anuj Dosajh:

No, it's not like that. See, we don't have any exclusive tie-ups with anybody because that defeats the basic essence of what we are doing. We are finally integrators and all the knowledge and the

mindset towards designing a plant is in-house. So, we would not like to stick to any particular company.

However, if that company also sees potential in the growth of the system and these systems do not come easy. I mean, you cannot learn these systems in 6 months and start implementing in the market. You need years of understanding and knowledge to implement product into technologies.

Because a product may be very good, but if it is implemented in the wrong way, the system will not work efficiently. So, that benefit is with us that we understand and that is why it is not that anybody else cannot buy this, but can anybody else use it effectively is a question mark.

Rahil Dasani: Understood, sir. It was very useful. Thank you for answering all my questions. I will get back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Yash Modi from Ashika Group. Please go ahead.

Yash Modi: Good afternoon, sir. And congratulations. Good afternoon. Sir, my first question was in this order book that we have executed this year and the opening order book that we have. As a principle, do we have any government orders or we don't apply for any government orders at all don't we bid?

Anuj Dosajh: See, we have, as a principle, we had earlier not decided to do any of these things, not to get into the government orders. However, there is a shift in our policy that we want to start with some lower ticket size. The reason, one of the reasons not going into infra and government orders was the scale of civil works was very high, whereas the scale of technology was low.

Until unless these are very, very big plants. So we wanted to build it up slowly. Now we will be getting into we have switched into a couple of jobs, which are more towards power sector. So government power sector where technology is appreciated. I mean, we are not a civil company as of now. So that is that is the reason we had not gone for it, but there is a slight movement towards the government jobs now.

Yash Modi: Got it, sir. And so typically, when we were set to get this L&T order or say Luminous order you had announced during the quarter, who typically we be competing with for getting these orders?

Anuj Dosajh: We have all kind of players. Most of the -- there you can divide into majorly three or four segments. There are some companies which are they are pan India, some which are sector wise and some which are region wise. So generally, it is a mix of companies. You have one or two all India companies like maybe Thermax, Ion Exchange or Concord or anybody. And then you have sector wise.

So Luminous being a battery company. So you had, we had Membrane and another company, I don't recall at the moment. And then you have region wise competitors. So the unit is coming, say suppose in Odisha. So you will have a different player over there. Some of these players may not be as good, but, you know, they definitely work in getting a better price for the customer.

- Yash Modi:** Got it. And since this is the first concall that we are hosting, obviously, you had given a background about you and your team during the IPO road shows. But it would help for the larger audience if you could let us know about the team, the second line of leadership post you and what is your background and all for everybody's interest?
- Anuj Dosajh:** So we'll do that. Actually, I'm also new at this. So probably all these things which you will tell me, I will take it effectively and ensure that next time you know it's there.
- Yash Modi:** Sure. All the best. Thank you.
- Moderator:** Thank you. The next question is from the line of Ankur Gulati from Genuity Capital. Please go ahead.
- Ankur Gulati:** Thank you. So just one question of the receivables as of March 25. If you can help us, how much money have we received from clients out of the total receivables till, let's say, mid of May or as of yesterday?
- Anuj Dosajh:** We have, I mean, almost I would say in percentages, maybe 30% we have received and in the coming week, one of the larger payments was from L&T, which was to the tune of almost INR8 crores. That should be coming next week. So we are very much on track for that.
- Ankur Gulati:** So the standard receivable days about 45 days from the completion?
- Anuj Dosajh:** 45 to 60 days. There are milestone-based, like I said, if you have, if you supply your invoicing will be say INR100, out of which you are actually what is due is INR80 only. So INR20 becomes something which will come only after erection or after commissioning. So that is something that will always be retained for a longer period of time.
- Ankur Gulati:** Okay, so out of INR100, retention is only on 20%?
- Anuj Dosajh:** 10% to 20%, it varies. Yes.
- Ankur Gulati:** Retention is on 20% or retention is 20%, sir?
- Anuj Dosajh:** No, retention is 20%. So, I mean, if it is INR80 towards supply, it's INR10 rupees towards erection and INR10 towards commissioning. So if I make a supply in the month of March, I am only, what is due to me is INR80 plus the GST. And the INR10 will come after 3 to 4 months. It will be due after 3 to 4 months because the erection activity will take that much time.
- However, as far as the billing is concerned or invoicing is concerned, this will remain as a, you know, payment which is due, but not actually receivable. This will only get receivable after 3 to 4 months. And subsequently, it will take another 2 to 3 months for the commissioning where we will have to pay, give the PBG to receive our money. So just 20% -- 10% to 20% keeps on accruing over a period of time.
- Ankur Gulati:** Yes, that's fine. But you guys get to do bill discounting for this 20% or not really?

- Anuj Dosajh:** No, you do tend to get bill discounting, but we are still not availing that facility because we anyway have the available resources as of today, but tomorrow if required, we will be doing that.
- Ankur Gulati:** And sir, of the revenues booked in financial year 2025 or H2, is there any unbilled revenue?
- Anuj Dosajh:** No, not really. See, most of these unbilled revenues, if I would like to mention is that the erection work which has been done to a very large extent. However, we are still not invoiced it. So in a way, that is an unbilled revenue, but we don't take it right into consideration.
- Ankur Gulati:** That's helpful, sir. Okay. Thanks a lot.
- Moderator:** The next question is from the line of Agastya Dave from CAO Capital. Please go ahead.
- Agastya Dave:** Thank you very much for allowing me the follow up. So again, going back to the revenue growth and the order book. So you mentioned that any order that you win by September will get executed this year. I was just wondering at what stage of the main project do you get involved? Has the main project reached a particular milestone? I mean, is it towards the start of the project or towards the end of the project? When are your services needed?
- Anuj Dosajh:** Let me try to give you the whole flowchart of this briefly. We are involved from day one in the sense, it's more like a consultative sale. So there are different companies who pitch in different schemes to the customer and the customer goes in for a scheme. So generally what happens is we give all the drawings, the hydraulics, the P&I, the design parameters, everything, and the civil GA.
- So now the next three to four months is for the customer to construct the civil works, which are not the same in magnitude with any municipal plant, but it still requires like you need a collection tank, you need a sludge holding tank, you need different kinds of small reservoirs, ranging from 100 KL to maybe 500 or 1000 KL. So that takes around 4 to 5 months.
- That is the general period, approximately 6 months are required. But till that time we have to get the supplies. So we make the supplies during that time. When I said September means we have six months and that is where the supplies will take place. The project execution per se will not take place, the supply execution will take place. And thereafter, like I just explained to Mr. Gulati, that there is another 6 months which goes for the next and the next time.
- Agastya Dave:** Understood, sir. You mentioned that going forward, first of all, the scope of the projects that you are undertaking, those will be larger. Individual ticket sizes will also be larger and the percentage of ZLD contribution to your revenues will also increase.
- So all these three seem to be margin accretive. But we are also a small company which is now growing rapidly. So our fixed cost will also increase. So how will these two factors interplay and what can we expect on the margin side?

Anuj Dosajh:

See, one thing is very clear to me. As a promoter, I don't want to spread sense so that we lose track of the quality and the commitment which we make to anybody, whether it is our end user or our investor. We are not the kind of guys who will blow trumpets without actually performing.

In-house wise, we are also implementing a lot of automation and SAP systems into our company so that we are geared up to take things into consideration with times to come. So your fixed cost, I understand, will increase. But what I'm trying to do is I'm trying to make the numbers bigger in the sense that we will definitely need some kind of finances over a period of time.

However, the same can be procrastinated by having a more efficient in-house system and having better cash flows within the system itself. So that is what we are working on.

Agastya Dave:

So these investments, do you need to do more of these in your balance sheet or through your P&L? I mean, I'm pretty sure employee base has to increase, so that goes to the P&L. But then there are other investments in technology and fixed assets and probably even working capital which happens to balance sheet.

So again, where will the capital be deployed and how will we see it? Your employee base ended at INR6.5 crores for this year. Now, let's suppose for the next 100% growth in whatever number of years that happens, how much more employees do you need and what's a comfortable level for you?

Anuj Dosajh:

See, there are two aspects again to this. It's more of a hypothetical figure which I'll be probably throwing. But I as a person and we as a management do not believe in incrementing or having an incremental increase in manpower with respect to the turnover. So, I mean, the other thing is we do intend to give ESOPs to our people, which I had also mentioned during the IPO times.

But further, I would like to just go back to the IPO times also. See, the retardation or the delay in growth from the earlier years was typically because of our capacity to provide collaterals to the banks and wherein we needed bank guarantees.

Because they are very important rather than the direct capital, working capital. But I'm not saying direct capital, working capital is not important. But what I'm saying is that bank guarantees help a lot in the sense all the customers which we are dealing with, most of them work on secured advances.

So, whether we get the material and then we get the payment or we get the advances where we have to submit ABGs or the PBGs. So, most of our deployed capital is towards bank guarantees, non-fund-based limits.

And we have been able to manage even from our earlier years of having a strong control over our cash flows and getting our payments from the customer on time and pushing them to make payments. And also, importantly, executing jobs on time so that there is no reason for the customer not to pay.

So, I would say that if I have to increase the manpower, if there is a 100% growth, I don't feel there should be much increase in the manpower. But it will be in line with the industry trend or

probably better. I mean, that is the objective. I want to have increased productivity per person of the company.

Agastya Dave:

Understood, sir. So, one final question from my side, sir. Is there any technology or any capability that you are missing where you would like to invest sooner or later? I mean, you will have to invest sooner or later. Any big-ticket investment that we are going to do or are you looking at any acquisitions just to improve your capabilities?

Anuj Dosajh:

We are talking to one or two people for getting into industrial sector. Like, for example, we are not prevalent in textiles. We are not there in paper. So, earlier, like I mentioned, the competition or the players are one of the areas where they are involved sector-wise. So, we are talking to one or two guys. But typically, see, water is also evolving. The technologies are evolving at a very fast pace globally.

So, what we feel is that it is important at this time to be a little more diligent to find the right clients. And it has paid us earlier while choosing our clientele and who at least appreciate what we are doing, which at a later date will help us scale up the business to quite an extent. So, earlier we were doing something which has helped us do this.

I feel the next year is also going to be extremely buoyant and so are the subsequent years. But yes, we are talking. I don't know how fruitful it would be. But then we are definitely pitching for certain things like that. But not in terms of technology at the moment because we find that there are a lot of global players who have some amazing technologies which are still not there in India. And India needs it badly.

Agastya Dave:

Understood, sir. Sir, thank you very much for giving me the opportunity. Sir, I have one request, if at all possible. I should also thank you for doing the con call, sir. That's really appreciated. Sir, if possible, kindly consider coming out with quarterly updates, if not proper results. 6 months is too large a gap, sir.

And especially if next year H1 is going to be better than last year's H1 and the skew is not going to be there between H1 and H2. Sir, kindly do consider giving quarterly updates...

Anuj Dosajh:

Can I just add to what you said? If you see, we have only been into the market, the proceeds have come only in the month of December. And there is only one quarter we actually had the funds with us to perform.

And we are due to certain compliances, but as a management, we are extremely, extremely careful and want to meet all the compliances. The only thing I was told was that once you get into the quarterly mode, you need to maintain it. So I didn't want to go awry, but definitely that is on our anvil. And we'll be, if not this quarter, I can't promise it, but definitely from subsequent quarters, we'll be doing it.

Agastya Dave:

It's a request that I'm making to all the SME companies, the quality SME companies, because there is, because of a number of actions by the SEBI itself, they have created a lot of doubts by introducing SMA and PCAS and all this nonsense. They created doubt in the mind of the investors in the market about SME companies. And then SME companies have this 6 month

window where there is absolutely no communication because people are just following what SEBI is saying.

It's a bad idea. It's a really, really bad idea to allow people to have 6 months between reporting. Because in that 6 months, it's just vacuum, right? There's no information from vast majority of SME companies. And then it leads to more rumor mongering and more doubts. And like there are no explanations. 90% of the companies are not even doing con calls. People do not do even press releases.

That's why it's a good practice. You do not -- you need to come up with proper results, but just a one pager, sir. You have excellent communication skills. I'm pretty sure if you write down all the developments during the quarter, in terms of what was the inflow, what was the execution, what were the margins.

Now receivables have spiked up this time and you have clarified clearly that basically with this INR8 crores coming in, everything broadly will be resolved. So whatever is the progress on the receivable side. So this will all address any and all doubts.

Plus you will come across as a very professional company, which I know that you are. But SEBI reasons, I don't know why they have introduced so many like idiotic rules regarding SMEs. It's just making things tough.

But anyway, sir, I really appreciate the performance and the con call and the commentary that you have given, sir. Thank you very much for patiently answering all the questions. All the best, sir.

Anuj Dosajh:

Thank you and point well taken. One thing I assure you of is that we are always available. We are committed to certain things, SEBI or no SEBI. Because I as a management, again, we strongly feel and believe in people. So we'll definitely be commuting in some form or the other of our performance in the quarterly end.

Agastya Dave:

One page and one paragraph is more than sufficient, sir. More than sufficient. You need not waste too much time. One paragraph is more than enough.

Anuj Dosajh:

I will tell you, see, like I said, we are in the process of learning. So the moment our advisors, AKMIL Advisors, you know, pitched in the fact that you should do a earning call, we jumped over the idea because, know, we are also new. So like I said, we want to be as transparent and as open to people who are, you know, believing in us. So I mean, it goes without saying.

Just don't want to get caught up for something, like you said, something which is more like shackles. So I mean, I'm just saying that once we get into it, because we'll have to bring everybody on board, the auditors, everybody has to be involved a little more. I'm not denying anything.

Agastya Dave:

No, Sir don't go on results just one page, like one paragraph summary, just qualitative summary, not numbers, not nothing, just qualitative summary, is did not involve the auditors, because I know for a smaller company it's a lot of hassle. Just one page summary. That this happened

during the quarter, this is what the rough revenue estimate is, subject to change, post audits, this is what we saw in terms of profitability and this is what the outlook is in terms of new orders.

We are positive with respect to the prospect of the company or there are certain problems, whatever be the commentary, whatever...

Anuj Dosajh: Sir, if we need anything, we'll take your help.

Agastya Dave: Of course, sir. And you will not need it. Sir, half a paragraph and sir everyone in the market will appreciate it. Thank you very much, sir. Thank you for giving me the time, sir, and your kind consideration. All the best, sir.

Anuj Dosajh: Thanks very much.

Moderator: Thank you. The next question is on the line of Soham from RV Investments. Please go ahead.

Soham: Sir, what was the order inflow in half two of FY '25? New order inflow?

Anuj Dosajh: See, by the time we came with the IPO, the first quarter was over, and I think those details are already mentioned in the RHP. Post that, I'll have to work out those figures exactly because I'm really not ready for it. But we posted whatever came to us. We got some few more orders, and I've already given those details. But if you want something specific, you can always write to our advisors, AKMIL Advisors and actually our team will get back to you on this.

Soham: Okay, sir. And we are expecting like we can execute orders till whatever orders we get till September. So, what geography and what sectors we are seeing these orders from in FY '26?

Anuj Dosajh: See, like I said, there is a lot of INR55 crores, so we are expecting anyway to do those, if not INR55, approximately, you know, closer numbers because this is what is with us in hand. So, this will be easier to execute because this is all in pipeline. So, I can't spell out the exact number, but then yes, it's very much there, you know, because they have to get executed as per the gestation period itself.

The sector which we are talking about is, sorry? The sector which we are talking about is all around, you know, because the Luminous is a battery company and it's a big company. Also, one of our objectives is to work with companies who have multiple factories because, you know, if you perform well in one factory, your pitch to the next job becomes so much easier.

So, we are -- there are -- the inquiries are from all the sectors which we are working today and, in fact, there are from chemical and, you know, pharmaceutical. There is from food industry. There is a lot of beverage plants which are coming up in India because of the cola wars. There is a lot of -- we have got inquiries from, I mean, I am saying inquiries which are getting culminated very fast and the next max 2 to 3 months.

So, I mean, there are -- and then we have white goods. We have, you know, optical. So, the range is quite wide. So, definitely, like I said, we are still not there in textile and pulp, paper and pulp. Barring that, we are quite well entrenched in most of the sectors. Almost 14 sectors we are at the moment, we are working on.

- Soham:** So, sir, currently from which sector we have more orders and, like, on the ticket size, we are, like, targeting high ticket size. So, what -- if you can quantify that, high ticket size means from which sector...
- Anuj Dosajh:** The automobile is big. I mean, you know, when ticket size generally goes bigger because of the company. I mean, you know, every company has a smaller -- if you go for a smaller company, it will have a smaller ticket size. If you go for a bigger company, going into technology.
- So, I mean, I can't pinpoint that this is there. But at the moment, yes, it is automobile for us because we are doing INR40 crores with Toyota. The upcoming jobs are, like I said, spread across every job and each ticket size is ranging from anything from INR15 to INR30 crores each job. So, I mean, you know, there are 6, 7 of them which we are vying for. Let's see what comes to our share.
- Soham:** Okay, sir. So, and, like, sir, I asked on the H2 numbers because, like, we started FY '26 with a INR120 crore order book, like, and our total year revenue is, like, INR70 crores. So, sir, I need to understand that, like, what was -- was there any inflow in the year?
- Anuj Dosajh:** See, every year has a spillover. So, we were working on a spillover from the last year. Last year, our turnover was 53 and there was a spillover, which I do not recall at the moment what was the number, but - so, 120 plus that spillover, suppose, is, say, 140 or whatever, out of which 55 is the spillover for this year. And we add another few orders which have come to this fiscal year. So, it all adds up. The match is very clear, I guess.
- Soham:** Okay, sir. And, sir, so, our gestation period, I should take, like, 6 to 10 months, right, project?
- Anuj Dosajh:** Yes, depending -- generally, I mean, on an average.
- Soham:** Thank you, sir. That was helpful.
- Anuj Dosajh:** Thanks very much. Thanks.
- Moderator:** The next question is from the line of Rahil Dasani from MAPL. Please go ahead.
- Rahil Dasani:** Yes, thank you for the opportunity again, sir. I wanted to understand, how do we get orders and tenders? Is it, like, these private entities also come out with tenders or is it, like, they directly communicate with us? How does it work?
- Anuj Dosajh:** Yes, main strength is word of mouth. So, like I said, if I pick up one job of Luminous and they have 14 factories or 13 factories, so we are already prevalent. If we pick up a job from Escorts they have some 10 factories. If we pick up a job from Mahindra, they have some 17 factories. So, I mean, you know, we are also being smart enough in terms of, you know, doing that.
- One is, the other thing is, we are associated with a lot of consultants, like TCS, like, I mean, you know, all the bigger ones. We are doing 3-4 of them, like, next year. So, each sector has a specific consultant, which also helps us. And the other avenue which we get is from our technology partners. So, whether it could be any, from Veolia itself or from anybody else who can be pushing us into a particular job.

So, I think, at the moment, in those terms, I mean, we have these avenues, basically. Generally, private companies don't take out tenders, but definitely they are -- because everybody has a different approach to treating the effluent. And the basic scheme may be the same, I mean, overall. But then, the technologies involved are different.

Rahil Dasani: Okay. So, that's interesting to hear, sir, that our technology partners are also recommending us. So, sir, then how should we quantify the bid pipeline for us as to what sort of orderings can we expect for next year? What sort of demand are we seeing from our potential and existing customers? How can we quantify that in some way?

Anuj Dosajh: I mean, like I said, it's difficult to spell out a number. But what we are looking at is the growth rate, which we have achieved the last couple of years. We at least want to maintain that. Hopefully, outperform that.

Rahil Dasani: Understood. Okay. And, sir, secondly, H1 and H2 split for this year was H2 heavy. So, is it like it will always be like this? And hence, the margins will also move slightly within this particular year?

Anuj Dosajh: One of our very, very strong endeavour is that if we have a decent spillover and an incremental spillover, it will avoid the crest and troughs like I was mentioning. So, there is like 30-70 ratio. We are trying to bring it closer so that we have a steadier turnover throughout the year, but then it is totally dependent also on the kind of order and the kind of requirement. So, generally, we don't want to make it so skewed.

Rahil Dasani: Understood. So, I guess we should see it more as a year-on-year game in the near term at least?

Anuj Dosajh: Exactly. We are trying to work on that and we are trying to see that we get jobs in tandem with whatever our thought process is.

Rahil Dasani: Understood. And, sir, just my last question on the receivables part. Like we see that this number has spiked and like you explained that it was because of since we sold in Feb and March. So, I believe till now it being some 45-50 days post-execution, we would have received that amount back and now our balance sheet will be much lighter?

Anuj Dosajh: Yes, I mean, otherwise we will be in trouble and I don't want to be in trouble. And that is the reason we are working with some very, very honourable, reputed, established companies. We are not working with any companies. So, you lose or you tend to -- the payments get delayed. And we follow the MSME principle of getting our payments and we keep on reminding customers for the same.

So, yes, it will be lighter for some time, but then it could become heavier with the new orders coming in.

Rahil Dasani: Understood. So, that would be all for me. Thank you very much for spending so much time. Thank you.

Anuj Dosajh: Thanks a ton. Thank you.

- Moderator:** Thank you. The next question is from the line of Vinod Gupta, an Individual Investor. Please go ahead.
- Vinod Gupta:** Yes. Firstly, congratulations, sir, for your result.
- Anuj Dosajh:** Thank you very much. Thanks.
- Vinod Gupta:** Sir, my question is, our trade receivable is tripling from 22 to 25. So, is this risk in rising bad debts or cash flow disruption?
- Anuj Dosajh:** Sorry, come again, please.
- Vinod Gupta:** Sir, our trade receivable is tripling from 23 to 25. So, is there any risk in rising bad debts or cash flow disruption?
- Anuj Dosajh:** No, there are no bad debts as such. We are, again, like I said, I just want to reiterate that the companies which we are working with are extremely, extremely honorable, established, powerful and I mean, in the sense, they are of repute. We do a lot of diligence when we start to work with any company. And therefore, and we are quite diligent in getting our payments also.
- So, receivables is not a question mark. It could get a little delayed by a couple of days here or there because of various reasons, but otherwise, there is, I don't find any risk in any of these receivables. And if you see the backdrop, you know, there are hardly any bad debts during the last couple of years.
- Vinod Gupta:** Yes, sir. So, sir, my next question is, what is our working capital list and our peers, compared to our peers?
- Anuj Dosajh:** See, I am not somebody who's really interested to be at the moment with our peers because our peers are very different. Thermax being, if I take, there are companies who have multiple divisions. So, like Thermax, Ion Exchange, or the other companies. And there are companies who are single own companies. So, I have really not gone into it. But what I, sometimes when I, because even when I try to do some peer comparison.
- I found that there are so many companies attributed as competitors, but actually not into the same business. So, it's difficult to ascertain, but I think we are very much in line with our requirements. And we have, if you see our ROE or ROC whatever we have been doing earlier also has been quite well managed. And we want to maintain a healthy ratios to that.
- So, at the moment because of the sudden influx, it could be a little on the lower side, but definitely we will be improving it. And that will be more evident by the end of the fiscal year.
- Vinod Gupta:** Yes, sir. Thank you, sir.
- Moderator:** Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Rajdeep for closing comments.



- Rajdeep:** Thank you, everyone for joining the conference call of Apex Ecotech Limited. If you have any further queries, please feel free to write us at info@akmiladvisors.com. Once again, thank you so much for joining the call.
- Anuj Dosajh:** Thank you very much. I just hope I have been able to give responses and answers to everybody to their satisfaction. Like Rajdeep said, if there's any other further query, I would request you to kindly forward your queries to the mentioned mail, and then we can take it forward. Thanks very much.
- Rajdeep:** Thank you so much.
- Anuj Dosajh:** Thank you.
- Moderator:** Thank you. On behalf of AKMIL Strategic Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.